

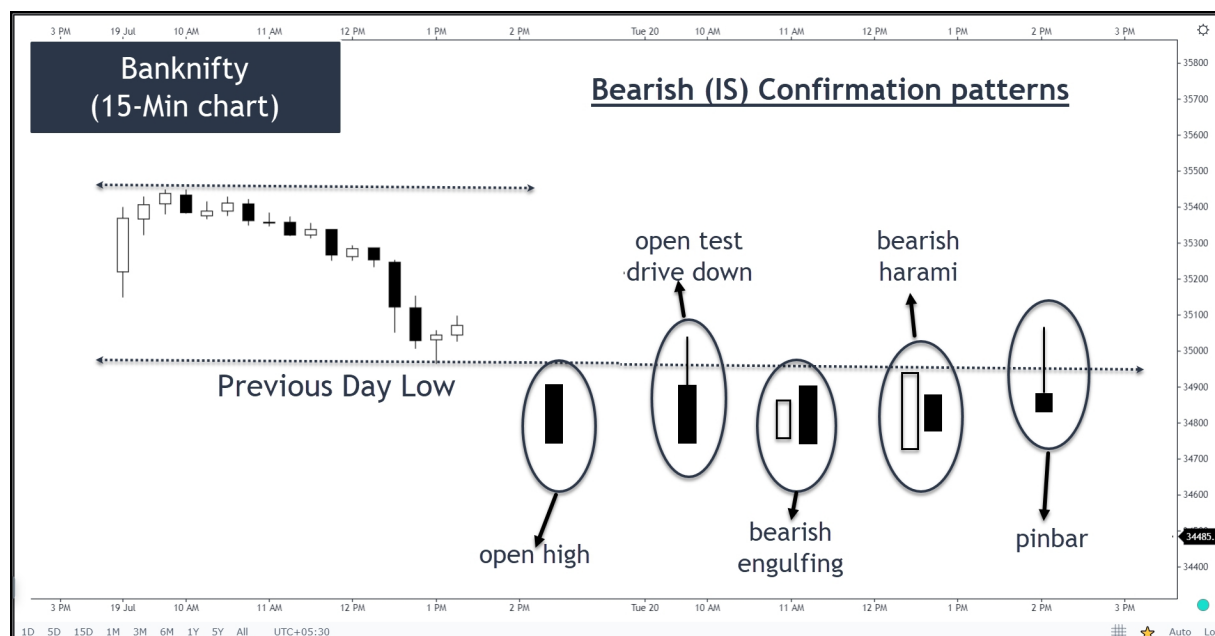


Image 5.11 – Bearish confirmation patterns for Initiative Selling

Image 5.11 shows the bearish confirmation patterns for Initiative Selling. It can come through bearish candlestick patterns like bearish engulfing, bearish harami, pinbar patterns (as discussed in chapter-4) or through 'open-high' (when open is equal to high of the candle), which is a price acceptance pattern, or through 'open-test-drive-down', (opens, moves up, fails higher price test and then prices move down) which is a price rejection pattern (rejection of buying above PDL in this case).

Traders can observe these patterns in either 5-min, or 10-min, or 15-min timeframes. Please note that in a 5-min timeframe, you get very early entry, but there is also a high probability of failure.

In a 15-min timeframe, you get more success, but sometimes your entry will be late. Hence, I suggest backtesting this system for a few years and picking the timeframe that suits your personality.

System 5 – Open Range Breakout (ORB)

ORB system was developed by Toby Crable, and it is one of the popular trading strategies in the day trading community.

It is based on the concept that "Amateurs open the market and professionals close the market."